IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - II, CHENNAI

CP(CAA)/97 (CHE)/2022
in
CA(CAA)/44 (CHE)/2022

Under Sections 230 to 232 of the Companies Act, 2013
In the matter of the *Scheme of Amalgamation of*

NUMERIFY SOFTWARE INDIA PRIVATE LIMITED
A Company incorporated under the Companies Act. 1956,
having its Registered Office at
Old No.228, New No.302, FM House,
Anna Salai, Tenampet, Chennai – 600 006.

... Petitioner /
1st Transferor Company

EXPERITEST SOFTWARE PRIVATE LIMITED
A Company incorporated under the Companies Act. 1956,
having its Registered Office at
Old No.228, New No.302, FM House,
Anna Salai, Tenampet, Chennai – 600 006.

...Petitioner /
2nd Transferor Company

DIGITAL.AI SOFTWARE INDIA PRIVATE LIMITED
A Company incorporated under the Companies Act. 1956,
having its Registered Office at
110, Mount Poonamallee Road,
Porur, Chennai – 600 116.

...Petitioner /
2nd Transferor Company

And
Their Respective Shareholders

*Order Pronounced on **30th June 2023***

CORAM

SANJIV JAIN, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

Present: -
For Petitioner(s) : Mr.Pawan Jhabhak, Advocate
For Regional Director : Mr.Avinash Krishnan Ravi, Advocate
For Official Liquidator : Mr.B.Palani, Estate Assistant

ORDER

(Hearing conducted through VC)

Per: SAMEER KAKAR, MEMBER (TECHNICAL)

This Joint Company Petition has been filed by **NUMERIFY SOFTWARE INDIA PRIVATE LIMITED** (for brevity "1st Transferor Company"), **EXPERITEST SOFTWARE PRIVATE LIMITED** (for brevity "1st 2nd Transferor Company") and **DIGITAL.AI SOFTWARE INDIA PRIVATE LIMITED** (for brevity "Transferee Company") under section 230-232 of the Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 for the approval of the Scheme of Amalgamation (hereinafter referred to as the 'SCHEME'). The said Scheme is placed at **Annexure-A9** in the Petition.

2. Affidavits in support of the present petition sworn by **Mr.Sankaranarayanan Hariharasubramaniam** on behalf of **all the petitioner companies** in the capacity of the Director and the corresponding Board Resolutions dated 11.02.2022, have been placed on record.

3. **1ST MOTION APPLICATION – IN BRIEF**

The Petitioner Companies had filed the First Motion Application vide CA(CAA)/44(CHE)/2022 and sought directions for dispensation for convening the meeting of Equity Shareholders all Petitioner

Companies and stated that there is no Secured Creditors and Unsecured Creditors in the Petitioner Companies. This Tribunal vide order dated 22.07.2022 dispensed with all meetings prayed by the Petitioner Companies. Subsequently, the Petitioner Companies filed the second motion petition on 10.08.2022 for approval of the Scheme, which was within limitation as per provisions of the Companies Act, 2013 and the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

4. **SCHEME SUMMARY:**

The Scheme provides for the Amalgamation of the 1st Transferor Company and the 2nd Transferor Company with the Transferee Company.

5. **RATIONALE OF THE SCHEME**

The rationale and benefits of the Scheme are briefed in the Scheme as follows,

> *"a) The amalgamation would result in the Transferee Company having presence in the first time Enterprise Grade Analytics and Continuous Testing capabilities which at present the transferee Company does not have it alone. In addition to the individual contribution of these two new areas, the transferee Company also benefited in unlocking new products, capability and services which can be provided to the customers focused on end-to-end solution beyond the current niche product offerings in Agile Planning, DevOps and Security;*

b) In addition, the amalgamation will facilitate Transferee Company to access new technologies, IPs, rights, know-how and consolidation of all the Indian businesses in a single entity is expected to bring strengths that each company may not necessarily possess individually, provides more focused management of the Transferee Company, improve synergies and focus on long term value creation, and to simplify the Corporate Structure:

c) Improved organizational capability and leadership. arising from the pooling of resources and expertise that has the diverse skills, talent and vast experience to compete successfully in an increasingly competitive industry;

d) Greater leverage in operations, planning and process optimization and enhanced flexibility in operations;

e) Consolidation of technology. Intellectual Properties, Software development capabilities, Physical Infrastructure into one enterprise;

f) Cost savings are expected from utilizing the existing software facilities of Transferee Company with more focus on operational efforts, rationalization. standardization and simplification of business processes, productivity improvements, usage of common resource pool like human resource, administration, finance, accounts, legal, other related functions, leading to elimination of duplication and rationalization of administrative expenses;

g) The amalgamation is expected to make strong the product portfolio of the Transferee Company and shall make a comprehensive product to be utilized by customers thereby enhancement of competitiveness in the market;

h) The amalgamation is expected to have synergistic results in operations and effective integration of the existing software development of Transferee Company with the software development capabilities available with the First Transferor Company, Second Transferor Company and

i) The amalgamation is expected to give such opportunity to the Transferee Company without any additional cash flow to the Transferee Company, since the shareholders of the First Transferor Company and Second Transferor Company will be allotted shares in the Transferee Company, as consideration for the amalgamation."

6. In the second motion Petition filed by the Petitioner Companies, this Tribunal vide order dated 09.11.2022 had directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region), (ii) RoC, Chennai, (iii) Official Liquidator, (iv) the Income Tax Department, with PAN details of all Petitioner companies and copy to the Chief Principal Commissioner Office (v) Reserve Bank of India and (vi) Software Technology Parks of India and other sectoral regulators as well as for paper publication to be made in "Business Standard", English (All India Edition) and "Makkal Kural" Tamil (Tamil Nadu Edition).

7. In compliance with the said directions issued by this Tribunal, the Petitioner Companies effected the paper publications in

"Business Standard" (All India Edition) in English on 20.12.2022 in and "Malai Malar" (Tamil Nadu Edition) in Tamil on 20.12.2022. Notices have been served to (i) Regional Director, Southern Region, Chennai on 29.11.2022, (ii) Registrar of Companies Chennai on 29.11.2022, (iii) Official Liquidator on 29.11.2022, (iv) Income Tax Department on 30.11.2022 (Transferor Company) and on 29.11.2022 (Transferee Company). The proof of the same by way of affidavit of service dated 27.12.2022 has been enclosed with the separate typed set. Pursuant to the service of notice of the petition, the statutory authorities have responded as under:

8. STATUTORY / REGULATORY AUTHORITIES

8.1. REGIONAL DIRECTOR

8.1.1. The Regional Director (RD), Southern Region to whom the notice was issued in the first motion itself has filed its report dated 21.02.2023 before this Tribunal and stated as follows,

> *"Clause 6.1 of Section - 4 of Part B of the Scheme provides for clubbing of Authorized Share Capital of the Companies, as such the Authorized Share Capital of the First and Second Transferor Company shall stand altered and merged with the Authorized Share Capital of the Transferee Company. Clause V of the MOA of the Transferee Company shall be altered as the Authorized Share Capital of the Company shall be Rs.10,11,00,000 divided into 1,01,10,000 equity shares of Rs.10 each. It is prayed that the Hon'ble NCLT, Chennai may direct the Transferee Company to pay the difference in fee / stamp duty and also to file the amended MOA and AOA with*

Registrar of Companies in connection with the proposed increase of Authorized Share Capital."

Apart from the above, the RD has expressed his no objection for the Scheme.

8.1.2. In response, the Director of the Petitioner companies filed an affidavit dated 29.05.2023 and undertook as follows,

"4. I state that basis the report of the Regional Director (RD) dated 20th February, 2023 at paragraph 10 of the RD's Report it has been observed that Clause 6.1 of section - 4 of the Part B of the Scheme provides for clubbing of Authorized Share Capital of the companies, as such the Authorised Share Capital of the First and Second Transferor Company shall stand altered and merged with the Authorized share capital of the Transferee Company. Clause V of the MoA of the Transferee company shall be altered as the Authorized share capital of the Company shall be Rs. 10,11,00,000/- divided into 1,01,10,000 equity shares of Rs. 10 each. It is prayed that the Transferee Company to pay the difference in fee / stamp duty and also to file the amended MoA and AOA with Registrar of Companies in connection with the proposed increase of Authorized share capital.

5. I state that the Petitioner/Transferee Company undertakes to pay the difference fee/stamp duty upon clubbing of Authorized Share Capital of First Transferor Company and Second Transferor Company with Transferee Company as required under the Companies Act, 2013. Further, the Petitioner/Transferee Company undertakes to file the amended Memorandum of Association and Articles of Association with the Registrar of Companies, Chennai in connection with the increase of Authorised Share Capital of the Company."

8.2. INCOME TAX DEPARTMENT:

Despite notice having been served and also the public notice dated 20.12.2022, there is no representation from the Department of Income Tax. This Tribunal in terms of Section 230(5) of the

Companies Act, 2013 presumes that the Department of Income Tax does not have any objection to the approval of the Scheme.

8.3. Official Liquidator

8.3.1. The Official Liquidator, Chennai to whom the notice was issued has filed his Report before this Tribunal on 23.03.2023 and stated that they have appointed M/s.Rao & Gopal, Chartered Accountant firm from the panel list maintained by their office to verify into the affairs of the Transferor Company. In para 5 of the said report, the Official Liquidator has expressed his no objection as follows,

> *"On examination / scrutiny of the books of accounts, records and registers etc. mentioned in above, he is of the opinion that the business has not been carried on with intent to defraud the creditors or any other person or for any fraudulent purpose attracting the penal provisions of Section 339 of the Companies Act, 2013. No director, or officer or any other person of the company misapplied or diverted or retained or became liable or accountable for any money or property of the company or has been found guilty of any misappropriation, breach of trust in relation to the company under Section 340 of the Companies Act, 2013. He concurs with the views expressed by the management that the various reasons for which this scheme is proposed. In view of the above observations, he is of the concerted opinions that the affairs of Numerify Software India Private Limited (1st Transferor Company) and Experitest Software Private Limited (2nd Transferor Company) have not been conducted in a manner prejudicial to the of its members or creditors or public."*

8.3.2. The Official Liquidator has also sought to take the report of the Chartered Accountant on record and fix the remuneration

payable to the Auditor who has investigated into the affairs of the Transferor Companies. In this regard, this Tribunal hereby directs the Transferor Company to pay a sum of **₹1,00,000/-** plus GST.

9. ACCOUNTING TREATMENT

The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of the Transferor Company and Transferee Company are in compliance with Section 133 of the Companies Act, 2013 which are placed at pages 376-383 of the petition.

10. VALUATION

The report of valuation dated 02.02.2022 prepared by the Registered valuer Mr.Rajeswara Rao is placed on record wherein the fair share exchange ratio for the Scheme is recommended as follows,

Sr No	Name of the Company	Exchange Ratio
1	NUMERIFY SOFTWARE INDIA PRIVATE LIMITED (Transferor Company -1)	35 shares of Rs 10 each of NUMERIFY SOFTWARE INDIA PRIVATE LIMITED for 2 share of Rs 10 each of DIGITAL.AI SOFTWARE INDIA PRIVATE LIMITED
2	EXPERITEST SOFTWARE PRIVATE LIMITED (Transferor Company - 2)	30 shares of Rs. 10 each of EXPERITEST SOFTWARE PRIVATE LIMITED for 1 share of Rs 10 each of DIGITAL.AI SOFTWARE INDIA PRIVATE LIMITED

11. DECLARATION BY THE PETITIONERS:

It is stated that no petition under Section 241-242 of the Companies Act, 2013 has been filed against the Petitioner Companies. There is no material change in the affairs of the Petitioners Companies and there are no proceedings related to investigations under Section 210 to 227 of the Companies Act, 2013 against the Petitioner Companies.

12. OBSERVATIONS OF THIS TRIBUNAL

12.1. This Tribunal is of the view that the scheme as contemplated amongst the petitioner companies is *prima facie* not, in any way detrimental to the interest of the members of the Company. In view of the absence of any material objections from any statutory authorities and since all the requisite statutory compliances have been fulfilled, this Tribunal sanctions the Scheme of Amalgamation at **Annexure-A9** of the petition as well as the prayer made therein.

12.2. Notwithstanding the above, if there is any deficiency found or, the violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with the law, against the concerned persons, directors and officials of the petitioners.

12.3. It is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp

duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/ compliance with any other requirement which may be specifically required under any law.

13. THIS TRIBUNAL DO FURTHER ORDER:

(i) That all properties, rights and interests of the Transferor Companies shall, pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company in terms of the Scheme.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Companies shall pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company in terms of the Scheme.

(iii) That the Appointed date for the Scheme shall be **01.04.2022** as mentioned in clause 2.1 of the Scheme.

(iv) The 'Effective Date' shall be the last of the dates on which the certified copies of this order of sanctioning the scheme are filled with ROC Chennai as mentioned in clause 2.1 of the Scheme.

(v) That all proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

(vi) That all the employees/workmen of the Transferor Companies in service on the date immediately preceding the date on which the Scheme finally takes effect shall become the employees of the Transferee Company without any break or interruption in their service with all the benefits.

(vii) The Transferee Company do without further application pay the considerations to the Transferor Companies as per clause 6.2.1 of the Scheme and the same is reproduced below,

> *"issue 2(two) equity shares of Rs.10/- each in the Transferee Company for every 35 equity shares held as fully paid up in 1st Transferor Company"*
>
> *"issue 1(one) equity share of Rs.10/- each in the in the Transferee Company for every 30 equity shares held as fully paid up in 2nd Transferor Company"*

(viii) That the Transferee Company shall file the revised Memorandum and Articles of Association with the Registrar of Companies, Chennai and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Companies.

(ix) That all the Petitioner Companies, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, on such certified copy being so delivered, the Transferor Companies shall be dissolved without winding up and the Registrar of Companies shall place all documents relating to the Transferor Companies registered with him on the file

kept by him in relation to all the Transferee Company and the files relating to all the said companies shall be consolidated accordingly.

(x) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

14. Accordingly, the Company Petition stands **allowed** on the aforementioned terms and is disposed off.

-Sd-

SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-

SANJIV JAIN
MEMBER (JUDICIAL)

Order pronounced under Rule 151 of NCLT Rules 2016, by ***Hon'ble Judicial Member Sanjiv Jain*** *on behalf of the Bench comprising of* ***Sanjiv Jain, Member (Judicial) and Sameer Kakar, Member (Technical).***

M/s Allu Aravind
Court Officer.